Lease

Made this, the tenth (10) day of January of the year two thousand and twenty (10/01/2020)

Between:-

Fortina Developments Limited (registered in Malta, with Company number C 82011), having its registered office at Fortina Spa Resort, Tigne Seafront, Sliema SLM 3012, Malta, duly represented hereon by (name) holder of identity card number (insert number)(M) as duly authorized, hereinafter referred to as the '**Lessor**';

and

Well Being Services Limited, a company registered in Malta (Company registered number C 49894) and having its registered office at 149/151, Eucharist Congress Street, Mosta, Malta duly represented on this Agreement by John Muscat holder of identity card number 126087M as duly authorized, hereinafter referred to as the '**Lessee**';

Hereinafter collectively and jointly referred to as the "**Parties**";

WHEREAS both parties hereto have determined to enter this Lease, which describes and regulates the relation between them;

NOW THEREFORE the Lessor and the Lessee agree as follows:-

1. Definitions and Interpretation

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1. Definitions

In this Lease (Including this sub-clause and the Schedule) the following words and expressions will have the following meanings:-

"Change in Control"	a change in the direct or indirect ownership or right to exercise (directly or indirectly) the majority of the owners' or members' or shareholders' voting rights in a company, whether the change is single or cumulative; and for the purposes of this definition, the provisions of the Ninth Schedule to the Companies Act (Chapter 386 of the Laws of Malta) shall *mutatis mutandis* apply;
"Common Parts"	the common parts of the Complex from time to time being those described in Part Five of the Schedule;
"Common Rights"	the common rights set out in Part Three of the Schedule;
"Complex"	the property described in Part Two of the Schedule;
"Conduits"	all conducting and service media and connections and associated parts used, designed or adapted for use in carrying services, for the time being and from time to time lying in or on or passing through, over, under or across the Premises (save insofar as the same serve exclusively the Premises) as the same may be altered, improved or extended from time to time;
"Insured Risks"	fire, lightning, storm, tempest, flood, earthquake, subsidence, explosion, impact, damage by aircraft (other than hostile aircraft) and flying objects and article dropped therefrom, riot, civil commotion, strikes, labor or political disturbance, bursting or overflowing of water tanks, apparatus or pipes, malicious damage, theft and/or such other normal commercial risks and insurances as the Lessor in their reasonable opinion may from time to time deem expedient in respect of the premises;

"Full Cost of Reinstatement"	The whole costs which would be likely to be incurred at any time during the Term, including the cost of demolition, site clearance, shoring up, propping, temporary hoarding and other temporary works and incidental expenses and architects and other professional fees, and other costs in relation to the repairing, rebuilding, renewing and reinstatement of the Premises and or/the Common Parts) as the case may be), having regard to any expected increases in building costs pending and during the period of reinstatement;
"Lease"	this lease Agreement;
"Lettable Unit"	the Premises and any other unit of accommodation forming part of the Complex let or intended by the Lessor to be let;
"Parts to be used"	Thalassa Room and Hammam Pool
"Permitted Use"	To be used as a Spa or any related use;
"Planning Acts"	the Development Planning Act (Chapter 552 of the Laws of Malta) any subsidiary legislation issued thereunder and any subsequent legislation of a similar nature.
"Plan"	Plans attached to this Lease as part of the Schedule which plans are demonstrative only;
"Plant and Equipment"	all (if any) electrical, mechanical and other plant, machinery and equipment, in, on, under, over or passing through and serving the premises;
"Premises"	the property described in Part One of the Schedule;
"Rent Commencement Date"	Shall be the 1st July 2020 or any date after the said commencement date, whereby the Hotel opens for business;

"Reserved Rights"	the rights and reservations set out in Part Four of the Schedule;
"Schedule"	the Schedule of Seven (7) Parts annexed as relative hereto;
"Schedule of Repair"	a list of works which are in the opinion of the Lessor acting reasonably required to restore the Premises to good, substantial and tenantable condition and repair and fit for use all in accordance with the whole provisions of this Lease;
"Term"	Shall be that of **15 (fifteen)** years that shall commence to run from the Rent Commencement Date;

1.2 **Interpretation**

In this Lease:-

1.2.1 Words importing the singular will include the plural and words importing the masculine gender will include the feminine gender and vice versa and where there are two or more persons included in the expression "the Lessee", obligations expressed or implied to be undertaken by the Lessee will be deemed to be undertaken by such persons jointly and severally. The word "person" will remain an individual, partnership company, public authority or any other body whatsoever;

1.2.2 If the Lessee consist of a firm or partnership the obligations of the Lessee will be binding jointly and severally not only on all persons who are partners of the firm or the partnership at the time that this Lease is executed but also on all persons who shall become partners of the firm or the partnership at any time during the Term and their respective successors whomsoever as well as on the firm or the partnership and its whole stock, funds, assets, and estate without the necessity of discussing them in their order and such obligations will subsist and remain in full force and effect notwithstanding any change or changes which may take place in the name of the firm or the constitution of the partnership whether by the assumption of a new partner or partners or by the retirement, death or outgoing of any individual partner; Declaring that the

retirement, death or outgoing of any individual partner will not of itself discharge such partner or his successors from such partner's joint and several liability in terms of this Lease;

1.2.3 All obligations undertaken by the Lessee will be binding on them during the entire term;

1.2.4 Any reference to any right or reservation exercisable by or for the benefit of the Lessor will be deemed to include the exercise of such right or reservation by any person or persons authorized by the Lessor, and further, such right or reservation may be exercised with agents, employees, professional advisers, workmen, contractors and others;

1.2.5 The clause, paragraph and schedule heading in this Lease are for reference only and will not affect the construction or interpretation of this Lease;

1.2.6 Any reference to any law shall be deemed to include any amendment, replacement or re-enactment thereof for the time being in force and to include any subordinate legislation, legal notices, rules, regulations, orders, notices, directions, consents or permissions (together with any conditions attaching to any of the foregoing) made thereunder.

2.A Grant and Term

2.A.1 The Lessor hereby leases to the Lessee, the Premises TOGETHER WITH the Common Rights but under reservation of the Reserved Rights and that for the Term of **fifteen (15) years**.

2.A.2 The first five (5) years of this Lease are 'di fermo', whereas the rest of the term is 'di rispetto'.

Provided that at any time in the period of 'di rispetto', the Lessee may terminate this lease by giving a six (6) month prior notice to the Lessor.

2.A.3 The Term may not be extended except with the consent of both parties in writing.

3. Rent, Rent Review, Rent Deposit and Lump Sum Payment

3.1 The rent shall be as follows:

- A fixed amount of rent established per year and an additional five per cent (5%) fee calculated on the sales generated. The latter fee shall always be calculated on a minimum of three hundred fifty thousand Euro (€350,000) sales or whichever amount is greatest.

- Therefore:

(i) five thousand Euro (€5,000) plus five per cent (5%) fee on the sales generated for the **first (1) year**,

(ii) fifty thousand Euro (€50,000) plus five per cent (5%) fee on the sales generated for the **second (2) year**,

(iii) sixty thousand Euro (€60,000) plus five per cent (5%) fee on the sales generated for the **third (3) year**,

(iv) sixty one thousand eight hundred Euro (€61,800) plus five per cent (5%) fee on the sales generated for the **fourth (4) year**,

(v) sixty three thousand six hundred fifty four Euro (€63,654) plus five per cent (5%) fee on the sales generated for the **fifth (5) year**,

(vi) sixty five thousand five hundred sixty three Euro and sixty two cents (€65,563) plus five per cent (5%) fee on the sales generated for the **sixth (6) year**,

(vii) sixty seven thousand five hundred thirty Euro and fifty three cents (€67,530.53) plus five per cent (5%) fee on the sales generated for the **seventh (7) year**,

(viii) sixty nine thousand five hundred fifty six Euro and forty four cents (€69,556.44) plus five per cent (5%) fee on the sales generated for the **eighth (8) year**,

(ix) seventy one thousand six hundred forty three Euro and thirteen cents (€71,643.13) plus five per cent (5%) fee on the sales generated for the **ninth (9) year**,

(x) seventy three thousand seven hundred ninty two Euro and forty two cents (€73,792.42) plus five per cent (5%) fee on the sales generated for the **tenth (10) year**,

(xi) seventy six thousand six Euro and nineteen cents (€76,006.19) plus five per cent (5%) fee on the sales generated for the **eleventh (11) year,**

(xii) seventy eight thousand two hundred eighty six Euro and thirty eight cents (€78,286.38) plus five per cent (5%) fee on the sales generated for the **twelfth (12) year,**

(xiii) eighty thousand six hundred thirty four Euro and ninety seven cents (€80,634.97) plus five per cent (5%) fee on the sales generated for the **thirteenth (13) year**,

(xiv) eighty three thousand fifty four Euro and two cents (€83,054.02) plus five per cent (5%) fee on the sales generated for the **fourteenth (14) year,**

(xv) eighty five thousand five hundred fifty four Euro and sixty four cents (€85,545.64) plus five per cent (5%) fee on the sales generated for the **fifteenth (15) year.**

3.2 On Rent Commencement Date, the Lessee shall pay three (3) months' rent in advance. The Rent shall be paid three (3) months in advance throughout.

3.3 The payment of the Rent must be affected by a standing order in an account specifically indicated in an invoice which the Lessor will send to the Lessee for every rental instalment.

3.4 Should the Lessee be in default interest at 8% shall be due until effective date of repayment.

3.5 On the seventh month of the lease, the Lessee shall deposit with the Lessor a Security Deposit in the amount of three (3) months' rent in the form of an on-demand bankers' guarantee acceptable to the Lessor which bankers' guarantee shall be valid for the full amount throughout the Term. The Lessor will hold the Security Deposit as security for the Lessee's faithful and prompt performance of all its payment obligations under this lease throughout the Term. Should the Lessee at any time fail to keep or perform any of its payment obligations undertaken pursuant to this lease, then the Lessor may, at its option appropriate and apply all or any necessary portion of the Security Deposit to compensate the Lessor for the non-payment.

3.6 The Lessor reserves the right to demand to the Lessee to check at any point in time throughout this Agreement, with a two (2) day prior notice, the accounts of the Lessee.

4. Lessee' Monetary Obligations

4.1 The Lessee hereby bind and oblige themselves: -

4.1.1 To pay the Rent from time to time payable in terms of this Lease without deduction, retention or demand within 30 days of the receipt of an invoice to this effect;

4.1.2 To pay all existing and future rates, taxes, duties, charges, assessments, impositions, outgoings and outlays whatsoever charged, assessed or imposed on or in respect of the Premises that are payable by the occupier, and excluding any taxes due and payable by the Lessor resulting directly from any disposal of or dealing by the Lessor with the Lessor' interest under this Lease;

4.1.3 To pay any charges (including connection charges) for water, electricity, telecommunications (if any) and other services (if any) used or consumed in or upon the Premises, on a monthly basis during the Term;

4.1.4 To pay within thirty (30) days of written demand all expenses, costs, charges, fees and outlays properly incurred by the Lessor: -

(i) relating to the enforcement of or procuring the remedy of any breach of any obligation of the Lessee hereunder notwithstanding that any steps taken hereunder be rendered unnecessary by the Lessee's subsequent compliance with the provisions of this Lease and the preparation and service of any Schedule of Repairs in terms of this Lease; and

4.1.5 To pay to the Lessor within thirty (30) days of written demand the proper costs of repairing (including without limitation the removal of anything causing defacement) any part of the Premises which is damaged by the Lessee or by any officer, employee, agent or independent contractor of the Lessee and so that the Lessee will provide to the Lessor on request all information reasonably requested in relation to damage caused (or reasonably believed by the Lessor to be caused) by any persons delivering goods to the Premises;

4.1.6 To pay to the Lessor any Value Added Tax and/or any other tax or charge of a similar nature as shall be legally chargeable in respect of all monies (including Rent) undertaken to be paid by the Lessee under this Lease all of which monies are for the avoidance of doubt expressed exclusive of Value Added Tax or such other tax as foresaid;

4.1.7 To pay to the Lessor on demand without deduction the sums referred to in Clause 5.4 (Notice of Repairs) and the whole costs and expenses incurred by the Lessor in carrying out any works in terms of Clause 7 and Paragraph 5 of Part Four of the Schedule;

4.1.8 Without prejudice to any other right, remedy or power available to the Lessor, to pay to the Lessor on demand through an invoice to be sent by the Lessor to the Lessee, interest at 8% on all sums due to the Lessor under this Lease from the due date for payment thereof until the date of actual receipt of payment in full by Lessor, such interest to be calculated on a daily basis on the balance then outstanding;

5. Lessee' Non-Monetary Obligations

The Lessee bind and oblige themselves unless otherwise stated herein:-

5.1 Repairing

To accept the Premises as being in shell form. The Lessor shall not be required nor liable (i) to carry out any work of a structural nature to any part of the Premises; nor (ii) for any repair to the Premises required as a result of damage caused by any of the Insured Risks.

5.2 **Cleaning Windows**

To clean the inside and outside of the windows and glass doors (if any) in the Premises as often as occasion shall require and generally to keep the Premises clean and tidy.

5.3 **Internal Painting**

In every fifth (5) year of this lease or more frequently if considered necessary by Lessor acting reasonably in order to maintain a high standard of decorative finish and attractiveness, as well as to preserve the Premises, to paint and/or treat as appropriate all the inside wood surfaces and metal work of the interior of the Premises which are usually or ought to be painted and/or treated and all additions thereto in such colors and with such preservatives and/or decorative materials as may be approved in writing by Lessor prior to the commencement of the work.

5.4 **Notice of Repairs**

Upon notice being served on the Lessee by or on behalf of the Lessor to execute all repairs, renewals, replacements, removals and other works to the Premises as the Lessor may require to procure compliance by the Lessee with the terms of this Lease and that within a reasonable period having regards to the nature of want of repair from the date of such notice, and that to the reasonable satisfaction of the Lessor and in case of default by the Lessee the Lessor may execute all such works as aforesaid and the whole costs and expenses incurred by the Lessor in so doing (including their lawyers' and architects' charges and other charges) will, on demand be due and payable by the Lessee to the Lessor;

5.5 **Compliance with Law**

To comply at their own expense with the provisions and requirements of all Maltese Law and subordinate legislation, regulations and directives to carry out all works to the Premises directed or required by any local or public authority by virtue of any such law or subordinate legislation, regulation or directive;

5.6 **Evidence of Compliance**

To provide to the Lessor on request and at the Lessee' expense copies of any certificates, consents, warrants, notices, and other documentation (including without limitation any documentation relating to fire and health and safety laws and regulations) relating to the Premises as the Lessor may require as evidence of compliance with Clause 5.5;

5.7 **Insurers' Requirements**

To execute in a timely manner all requirements and stipulations made by the Lessor' Insurers and intimated to the Lessee;

5.8 **Planning**

5.8.1 Not to do or omit or permit to be done or omitted anything on or in connection with the Premises the doing or omission of which shall or might be a contravention of the Planning Acts and to free and relieve the Lessor from the costs of any application for planning permission in respect of the Premises and the works and things done in pursuance thereof;

5.8.2 In the event of permission from any planning authority under the Planning Acts and/or other statutory consent being required for any purpose to apply at their own expense to the Planning Authority and such other authorities or bodies as may be requisite for all licenses, consents and permissions which may be required provided that no such application shall be made without the prior written consent of the Lessor, such consent not to be unreasonably withheld, and to give full particulars to the Lessor of the grant or refusal (as the case may be) of all such licenses, consents and permissions forthwith on the receipt thereof for retention by the Lessor;

5.8.3 In the event of any planning authority refusing any consent or agreeing to grant the desired planning permission only with modifications or subject to conditions, not to accept such modifications or conditions without the consent in writing of the Lessor not to be unreasonably withheld and forthwith to give to the Lessor full particulars of such modifications or conditions and if such modifications or conditions shall, in the opinion of the Lessor, be undesirable, then not to implement said consent and forthwith if the Lessor so require and request but at the expense of the Lessee, to lodge the necessary appeal and at the Lessee' cost to pursue diligently such appeal and at all times at the request of the Lessor to keep the Lessor informed as to the progress thereof;

5.8.4 Immediately on receipt to give notice to the Lessor of any notice, order or proposal for a notice or order served on the Lessee under the Planning Acts and if so required by the Lessor to produce the same and at the request of the Lessor but at the cost of the Lessee to make or join in making such objections or representations in respect of any proposals as the Lessor may require;

5.8.5 If the Lessee shall receive any compensation in respect of their interest under this Lease as a result of any restriction placed upon the use of the Premises under or by virtue of the Planning Acts then if and when the Lessee' interest under this Lease shall be dissolved howsoever that event may occur, forthwith to make such provision as is just and equitable for the Lessor to receive their due benefit (if any) from such compensation; and

5.8.6 If and when called upon to do so to produce to the Lessor or the Lessor' architect all such plans, documents and other evidence as the Lessor may require in order to satisfy themselves that the provisions of this Clause 5.9 have been complied with in all respects;

5.9 **Alterations**

Not to divide the Premises nor to make or permit to be made any alterations or additions or improvements to the Premises or change or permit to be changed the design, layout and appearance of the Premises except with the prior written consent of the Lessor and in accordance with plans and specifications (to be submitted in duplicate) approved in writing by the Lessor in advance of commencement of the works, which consent and approval shall not be unreasonably withheld in the case of non-structural internal alterations only but which consent may otherwise be withheld or granted subject to such conditions as the Lessor may in their sole discretion consider appropriate;

5.10 **Signs and Displays**

Not without the prior written consent of the Lessor to install signs and displays. The artwork and the instalment of such signage shall be at the expense of the Lessee;

5.11 **Point of Sale System**

To install a Point of Sale system that is compatible with the system of the Lessor;

5.12 **Pest Control**

To engage a pest extermination contractor either designated or approved by the Lessor, who shall perform pest control services in the Premises at such intervals as reasonably required;

5.13 **Disposal of Garbage**

To dispose of any or all waste generated, on a daily basis. The waste shall be stored at all times in such a manner as not to be visible by other clients of the Lessor;

5.14 **Aerials etc**

Not to install any aerials, antennae or satellite receiving dishes serving the Premises or any part thereof, without the written consent of the Lessor;

5.15 **Machinery**

Not without the prior written consent of the Lessor to install any electrical and/or mechanical plant, engine or machinery or other Lessee' or trade fixtures and fittings except such as is commonly found or used in premises similar to the Premises and does not give rise to undue noise, vibration or interference with any other equipment operated in the Premises;

5.16 **Overloading**

Not to bring into, place or keep in the Premises any heavy articles in such position or in such quantity or otherwise in such manner howsoever as to overload or cause damage to the Premises or any other adjoining or neighboring property;

5.17 **Not to cause Obstructions etc.**

Not by building or otherwise to stop up or darken any window or light in or enjoyed by the premises nor to permit any new servitude, easement, or encroachment to be made or acquired into, against or upon the Premises and in case any such servitude, easement, or encroachment shall be made or attempted to be made, to give immediate notice thereof to the Lessor and to permit the Lessor and their agents to enter upon the Premises for the purpose of ascertaining the nature of any such servitude, easement, or encroachment and at the request of the Lessor but at the cost of the Lessee, to adopt such means as may reasonably be required or deemed proper for preventing any such encroachment or the acquisition of any such servitude, easement, or encroachment;

5.18 **Access Roads and Entrances**

Not to block any of the entrances or access ramps or roads serving the Premises or any other property belonging to the Lessor nor to park any vehicles at any time on such access roads or blocking such entrances and not to interfere with the loading or unloading of goods from any other premises within the Complex;

5.19 **Fire / Emergency Systems**

To provide and maintain all fire detecting, fire fighting, alarm and extinguishing plant, systems and apparatus and emergency lighting required by the Lessor acting reasonably or their insurers to be installed within or serve the Premises and to operate and maintain the same all in accordance with the directions of the Lessor, their insurers and the local Fire Authority.

5.20 **Security**

(i) To ensure that all entrances and exists to and from the Premises and to and from the Common Parts are held locked fast and secure outside trading hours;

5.21 **Other Insurances**

5.21.1 The Lessee shall insure and keep insured at its cost throughout the Term of this lease the following insurances, and any other insurances as determined by the Lessor, in the name of the Lessee jointly with the Lessor and such other names as the Lessor may reasonably require, and with such underwriters and through such agency as the Lessor may determine (provided that the premium and other terms of such insurances are not less favorable than is normally available) from time to time:-

(a) for the full replacement value, through breakage, damage or destruction from any risk normally covered by an Industrial All Risks Policy, the plate glass windows of the Premises (if any) and for all the lessee' trade fixtures and fittings.

(b) third party liability in the amount to cover in respect of any one occurrence not less than one million Euro (€1,000,000) or such higher amount as the Lessor may reasonably prescribe from time to time relating to the lessee' liability arising from the lessee' occupation and use of the Premises, including but not limited to the liability of the lessee and the lessee' building contractors in respect of personal injury, death or damage to property;

(c) products liability policy covering any liability caused as a result of the use of equipment and/or products by third parties;

5.21.2 To pay all premiums necessary for the abovementioned insurances within seven (7) days after the same shall have become due and payable and to produce to the Lessor or their agents on demand a receipt for each such payment, provided always that if the Lessee shall at any time fail to maintain such insurance, the Lessor may do all things necessary to effect and maintain such insurance and monies expended by the Lessor for that purpose will be payable by the Lessee on demand;

5.21.3 The Lessee shall further indemnify the Lessor and hold the Lessor harmless from and against any and all claims arising from any breach or default in the performance of any obligation of the Lessee' part to be performed under the terms of this Agreement, or arising from the negligence of the Lessee' part, or from the negligence of the Lessee' principals, agents, employees and guests;

5.21.4 The Lessee shall carry out at its cost any replacement, repair or reinstatement not covered by the proceeds from the insurance effected by the Lessee;

5.21.5 All insurance policies and covers have to be approved by the Lessor and/or the Lessor' broker;

5.21.6 A copy of the insurance bought must be sent to the Lessor by the Lessee every year.

5.22 **Application for Consent**

Upon making any application for any consent or approval which is required under this Lease, to disclose to the Lessor such information as the Lessor may reasonably and relevantly require;

5.23 **Inform Lessor of Notices**

Upon the happening of any occurrence or upon the receipt of any notice, order, proposal, requisition, direction or other thing which may be capable of adversely affecting the Lessor' interest in the Premises, forthwith at the Lessee' own expense to deliver full particulars or a copy thereof to the Lessor.

5.24 **Advise Lessor of Damage**

In the event of the Premises being destroyed or damaged, to give notice thereof immediately to the Lessor stating whether and the extent of such destruction or damage;

5.25 **Inform Lessor of Defects**

To inform the Lessor in writing immediately upon becoming aware of any defect in the Premises which might give rise to a duty or liability imposed on the Lessor to any person for any cause whatsoever;

5.26 **No Assignment and Change of Control**

Not to assign or attempt to assign their interest in this Lease in respect of the whole or any part of the Premises without the prior written consent of the Lessor. The Lessor shall be entitled to withhold their consent in their absolute discretion. If the Lessee are a company (other than a company listed on a recognized stock exchange) a Change in Control of the Lessee shall be deemed to be an assignment without the prior written consent of the Lessor.

5.27 **Sub-Letting**

The Lessee may not sub-let, agree to sub-let or part with or share possession or occupation of any part of the Premises and to charge, grant rights over the same in favour of any third parties or otherwise to dispose of or deal with the Lessee' interest in the Premises, except with the prior written consent of the Lessor.

5.28 **Management Regulations**

To observe, perform and comply with all regulations made by the Lessor for the benefit of same or all of the Lessee with the Premises PROVIDED THAT in the event of any such regulations conflict with this Lease, the terms of this Lease shall prevail;

5.29 **Employees**

To employ a sufficient number of competent and well trained employees to ensure a high standard of service;

5.30 **Facilitate Access etc.**

To take all reasonable steps to facilitate the exercise by the Lessor and others of the Reserved Rights;

5.31 **Lessors' Clients and Guests**

To offer the use of the toilet facilities within the premises, free of charge, for all guests and clients of the Lessor.

5.32 **Goods for Sale**

Not to display or hang or place or exhibit or sell or permit or suffer to be displayed or hung or placed or exhibited or sold any goods outside the Premises and not to obstruct the Common Parts.

5.33 **Indemnity**

To free, relieve and indemnify the Lessor from and against liability in respect of any injury to or the death of any person, damage to any property of whatsoever nature, any court action, the infringement, disturbance or destruction of any right, servitude or privilege or otherwise by reason of or arising directly or indirectly out of the repair, state of repair or condition of the Premises or any alteration or addition or improvement to the Premises or the use of the Premises or the Lessee' use of the Common Parts and from any act, omission or default of the Lessee in the implementation and observance of the obligations contained in this Lease and from all fees, penalties, charges, proceedings, costs, claims, expenses and demands of whatsoever nature in respect of any such liability or alleged liability or any such act, omission or default;

In the event of any damage being caused to the Premises, the Complex or any other property, directly or indirectly through any act, omission or default on the part of the Lessee, forthwith at the Lessee' own expense to restore and repair the same to the entire satisfaction of the Lessor and further to pay and so free, relieve and indemnify the Lessor of and from any liability and all loss, injury or damage which may be sustained by any third parties;

5.34 **Upon Termination**

On the expiry or earlier termination of this Lease: -

5.34.1 to relinquish the possession and use of the Premises and the Lessor' fittings and fixtures therein without any process of eviction being used against them to that effect;

5.34.2 to surrender the Premises and all Lessor' fixtures and fittings therein and thereon to the Lessor with vacant possession and leaving the same in good and substantial condition and repair and fit for use all in accordance with the Lessee' obligations under this Lease and in the event of any of the Lessor' fixtures and fittings or any of the Plant and Equipment comprised within the Premises being broken or missing, to replace the same with items of equal value, quality and functionality, and to carry out any works required by the Lessor in terms of Clause 5.4 (Repairs), and that all without payment of any compensation by the Lessor;

5.34.3 to make good any damage caused by the removal of trade or Lessee' fixtures and fittings or otherwise attributable to the Lessee' quitting the Premises;

5.34.4 to pay to the Lessor all monies due in terms of this Lease up to the expiry or earlier termination thereof including but not limited to all rent, service charge and insurance premiums; and

5.34.5 to pay to the Lessor the whole cost and expense of carrying out the works referred to in Clause 5.4 (Notice of Repairs) and Clause 7 together with a sum equivalent to rent at the rate payable under this Lease as at the date of expiry or earlier termination calculated on a daily basis over a year for the period from the date of expiry or earlier termination until completion of such works as aforesaid;

5.34.6 unless otherwise required by the Lessor in writing at the entire cost of the Lessee to remove any internal partitions, fixtures or fittings, to leave the floor and ceilings / soffit in a serviceable condition, and to leave the walls plastered and in a good state, and

5.34.7 to remove all signs, notices, placards, posters, advertisements and others installed by the Lessee and make good any damage caused by such removal all to the reasonable satisfaction of the Lessor.

6. Lessor' Warranty

6.1 The Lessor warrants that the Lessee may on paying the Annual Rent and performing the obligations herein contained, and subject to the rights reserved to the Lessor and others in terms of this Lease, quietly enjoy the Premises during the Term.

6.2 The Lessor warrants that the Lessees' clients and employees shall have the right to use the Parking Spaces found in the Complex at a reduced rate to be agreed between the Parties.

7. Schedule of Repairs

Lessor' Entitlement

The Lessor will be entitled at any time throughout the Term or after the date of expiry or earlier termination of this lease:-

7.1 To enter upon the Premises on giving prior notice (except in the case of emergency) to inspect and examine the same, to view the state of repair and condition thereof, and to take a schedule of Lessee' fixtures;

7.2 To compile and serve upon the Lessee a Schedule of Repairs and the Lessee shall be obliged to execute all work required in order to comply with any Schedule of Repairs within two months of service of such Schedule of Repairs (or such other reasonable period as the Lessor' may reasonably prescribe);

7.3 To request and receive any one or all maintenance agreements that the Lessee wold have signed to maintain and service the Premises; and

7.4 In the event that the Lessee fail to comply with any Schedule of Repairs it shall be lawful (but not obligatory) for the Lessor (without prejudice to any other rights the Lessor may have under this Lease) to enter upon the Premises and to execute all work necessary to comply with such Schedule of Repairs and that at the Lessee' cost which cost shall be repaid by the Lessee to Lessor on demand together with professional and consultant's costs (properly incurred) together with interest from the date of demand until payment in full.

8. Lessor' Obligations

The Lessor undertakes to the Lessee to implement, perform and fulfil the obligations and undertakings as set out in Part Six and Part Seven of the Schedule throughout the Term.

9. Lessor' Entitlement to Dissolve the Lease

9.1 The Lessor shall be entitled to dissolve this Lease forthwith by written notice by judicial letter in any one or more of the following events:

9.1.1 The non-payment the Rent or any other sum due to the Lessor under this Lease shall remain unpaid after the same shall have become due, and if such failure continues for a period of fourteen (14) days after notice in writing by judicial letter specifying the default is sent to the Lessee;

9.1.2 If the Lessee assigns, sub-lets, disposes of, or otherwise ceases to occupy or to control the Premises or any other part in breach of this Lease;.

9.1.3. If the Lessee shall breach or fail to perform or observe any of the other obligations undertaken by it in this Lease, if such failure continues for a period of fourteen (14) days after notice in writing by judicial letter specifying the default is sent to the Lessee;

9.1.4 If the Lessee (being a company) shall go into liquidation, (whether compulsory or voluntary), or have a receiver or administrator appointed or in the event that the Lessee (being a partnership with unlimited liability) apply to limit their liability or in the event that the Lessee enters into a composition for the benefit of creditors or shall make any arrangement with its creditors, or shall become insolvent or apparently insolvent or have a curator appointed.

9.2 In the events stated in clause 9.1, the Lessor may dissolve this Lease forthwith *ipso jure* and *ipso facto* by written or electronic notice without any declaration by a Court or process of law to that effect, and without limiting the Lessor in the exercise of any right or remedy which the Lessor may have at law by reason of such event, to move the Lessee from possession of the Premises, and repossess and enjoy the same as if this Lease had not been granted, and to exercise all rights and claims competent to the Lessor in terms of this Lease (including those in respect of Rent, insurance premiums and other monies due to the date of such removal and termination).

9.3 The Lessor shall also be entitled to terminate this Lease either: (a) if the Complex is sold to a third party or (b) if the Complex is leased to a third party, after the third party expresses

the desire to terminate this Lease Agreement, and this by giving a six (6) month notice to the Lessee:

Provided that:

i) The Lessor shall pay a one time payment of one hundred fifty thousand Euro (€150,000) to the Lessee;

And

ii) The Lessor shall reimburse the Lessee for any investment made within the Premises upon receiving all fiscal receipts. The amount to be reimbursed for the investment made within the premises shall be at a rate of depreciation which sees a deduction in value of the invested amount, of zero per cent (0%) in the first two (2) years, and from then on a depreciation rate of ten percent (10%) per annum on the investment;

10. Lessee' Right to Terminate this Lease

10.1 Without prejudice to other instances mentioned in this Agreement whereby the Lessee are entitled to terminate this Lease with immediate effect, the, occurrence of any one or more of the following events shall constitute a material default and breach of this Agreement by the Lessor:

(a) The failure by the Lessor to observe or perform any of the other covenants, conditions or provisions of this Lease to be observed or performed by the Lessor, (including but not limitedly to its warranty obligations in terms of clause 6 above) where such failure continues for a period thirty (30) days after notice thereof by a judicial letter from Lessee to the Lessor, provided however that if the nature of the Lessor failure is such that more than thirty (30) days is reasonably required for its cure, then the Lessor shall not be deemed to be in default if they commence such cure within the said period and thereafter diligently prosecutes such cure to completion;

(b) (i) The making by Lessor of any general assignment or general arrangement for the benefit of creditors; (ii) the filing by or against Lessor of a petition to have Lessor adjudged bankrupt; (iii) the appointment of a liquidator for the Lessor.

In the event of a material default by the Lessor as set out in the immediately preceding paragraphs, the Lessee, without limiting the exercise of any right or remedy which they may have by reason of such default or breach, may terminate the Lease and, in such event, the Lessee shall be entitled to:

(a) a refund of any Rent, or any other payments made in advance in terms of this Lease in relation to any unutilized period of the relative lease year; and

(b) where applicable in terms of law, the Lessee shall be entitled to recover from Lessor all damages incurred by Lessee by reason of Landlord's default.

11. Acceptance of Rent / No Waiver / No Compensation

11.1 Acceptance of Rent

The demand for or acceptance of Annual Rent (or other sums) by the Lessor or its agents at any time will not in any circumstances constitute nor be construed to be a waiver of any of the Lessee' obligations under this Lease nor of the Lessor' remedies for breach thereof nor of the Lessor' right to review the Rent under Clause 3 nor shall it personally bar the Lessor from requiring such a review of Rent in terms thereof.

11.2 No Compensation

The Lessee on vacating the Premises will not be entitled to claim any compensation from the Lessor for any alterations, additions and changes to the Premises, or for any goodwill expect the instances mentioned in Clause 9.3.

12. Disclaimer of Liability

The Lessor will not be liable to the Lessee for any injury, damage or expense or financial or consequential loss whether to persons, property or goods:

(a) arising directly or indirectly by or through any defect, decay, inadequacy, want of repair or decoration or otherwise in the Premises unless such is the result of the Lessor' failure to carry out their obligations; or

(b) in or arising from the choking, bursting, overflow, leakage, stoppage or failure of any gas, water or soil pipes, ducts and cisterns or of the drains, sewers, gutters, or conductors or the failure, fusing or breakdown of any electric wires or appliances or other service media in the Premises that have been installed by or are required by this Lease to be maintained by the Lessee; or

(c) for any injury, damage or expense or financial or consequential loss whether to persons, property or goods arising directly or indirectly through any act or omission of the, Lessee.

13. Notices

All notices which require to be given in terms of this Lease will, unless otherwise provided in this Agreement, be in writing and will be deemed to be sufficiently given if sent by recorded delivery post addressed:

In the case of the Lessee, to the Lessee (if a company) at its Registered Office or (if an individual) at his last known address in Malta or (if a partnership) to the partnership or any one or more of the partners thereof at the Premises; and

In the case of the Lessor, to the Lessor (if a company or partnership) at its Registered or Principal Office or to such other address as the Lessor may have notified in writing).

In proving service, it shall be sufficient to prove that the envelope containing the notice was duly addressed to the Lessor or the Lessee, as the case may be, in accordance with this Clause and posted to the place to which it was so addressed.

Where notice is given by judicial letter, the law applicable law regarding service shall apply. Notice may also be given by hand delivery to a director of the Lessee Company or to the Chief Executive Officer of the Lessor Company, in which case service shall be on delivery.

14. Disputes

In the event of any dispute arising out of this Lease the appropriate courts and tribunals in Malta shall have jurisdiction.

15. Governing Law

This Lease shall be governed and construed in accordance in all respects with Maltese Law.

SIGNED for and on behalf of **(name)** by:	
SIGNED for and on behalf of ---------- ------- by: Edward Zammit Tabona obo Fortina Developments Ltd. ..... ----------	SIGNED for and on behalf of ---------- -- by: John Muscat Well being Services Ltd. ..... ----------

This is the Schedule referred to in the foregoing lease

SCHEDULE

Part 1

The Premises

The divided portion comprising the spa area at-1 level of building shown outlined in yellow on the Plan marked Document "X" and highlighted in orange hereto attached with an area of 510 square meters forming part of the Complex;

The Premises shall be given to the Lessee in a **SHELL FORM STATE:**

Provided that the Lessor shall pay all expenses for the construction of the Thalassa Pool and Hammam Pool.

Part 2

The Complex

Fortina Hotel is a privately-owned establishment of Fortina Investments Ltd comprising of a 4-star hotel and an adjacent 5-star resort on the Sliema Strand Sea Front. The redeveloped Fortina Hotel is set to be a 5-star resort with renewed caliber.

The scope of the project is to create a state-of-the-art, multipurpose complex utilizing the Floor Area Ratio Policy. This policy holds that the establishment may deviate from the maximum building height regulations of the zone so long as 50% of the site is an open space to be enjoyed by the general public.

The enterprise involves the creation of commercial offices, with 60 conveniently located residential apartments, a high-end boutique, a 5-star hotel hosting 220 rooms, 3 restaurants, a large pedestrian piazza open to the general public, as well as a data centre at its core; occupying a whole floor in order to dedicate the necessary resources to ensuring the smooth operation of the whole development.

The Lido across Tigne Seafront road is an extension of this project and will provide its own spa and gym facilities; while the Fortina Hotel will allow easy access and enhanced security through the construction of a drive-way and round-about at its entrance, along with three underlying car park levels hosting circa 390 spaces.

The high-profile disposition of the complex seeks to attract a target audience belonging to the high-income bracket, in the 35+ age region; particularly those travelling to the island on business or work-related endeavours, The MICE *(meetings, incentives, conferences and exhibitions)* traveller is one who expects a personalised, first-class service, within a sophisticated environment nestled in an attractive location. Thus, The Fortina Investments Group find this demographic of professionals to be appropriate for the project given the predisposed qualities of location and the core qualities of the end result. Below is a detailed breakdown of each element of the endeavour, inclusive of design criteria:

The office space will comprise of a modern open-plan office development of 10,100m². With an entrance to the office block through the pedestrian piazza as well as from the carpark. Noteworthy is the fact that this business-designated space has been secured by a leading blue-chip client that is a world-leader in its sector and whose reputation will aid the public perception of the development.

As for the residential portion venture, the units will enjoy a hotel-style reception area at ground floor to provide access to all cores, ample indoor space of circa 200sqm complete with wide living rooms and deep balconies overlooking the gorgeous Valletta views, along with ensuite bathrooms for each bedroom and comfortable utility rooms for storage purposes, laundry and the like.

The hotel will be the result of a complete and thorough redesign of the existing 18-storey hotel tower including interior renovation and modernisation of the facade. It will see the construction of an additional 5 floors and replacement of the existing 'Spa Block' with a 13-storey extension. This segment will include a new hotel lobby and multipurpose space at ground floor, while the below-street-level facilities will be reworked to accommodate a larger gym, indoor spa and pool.

Additionally, the existing lido and overlying restaurant on the seafront is to experience an extensive overhaul to provide residents and guests with a larger sun deck, an extended pool, bigger restaurant and a sizeable public space at promenade level, thereby offering a calming outdoor environment which is uncommon nowadays.

The commercial capacity of the project will hold a large two-level retail space with a prominent entrance at sea-front level. The high-profile tone of the whole enterprise will be reflected in the retail element of the Fortina project, bringing a shop-in-shop experience aimed at luxury brands.

Moreover, the venture's overall development will consist of a built up area of circa 50,000m², with construction currently in full swing and a completion date set for January 2021.

Part 3

The Common Rights

The Lessor grant to the Lessee (in common with the Lessor and all others entitled to the same and all others authorized in writing by the Lessor) the following rights:-

1. Of access to and egress from the Premises by the designated entrances and exits and routes as the same may be varied pursuant to this Lease;

2. To Use all the "parts to be used" as defined in the Definitions.

3. Of free passage of ventilation, heating, water, electricity and other services in and through that part of the Conduits serving *inter alia* the Premises provided that the Lessee shall not use or attempt to use any part of the Conduits to an extent which is in excess of the capacity it is designed to bear; and

4. To use for normal purposes the servicing and (in case of emergency only) the fire escape corridors and stairs (and fire escape doors leading thereto and therefrom) within the Complex.

Part 4

The Reserved Rights

There are excepted and reserved to and in favor of the Lessor and all others authorized by the Lessor or who are otherwise entitled thereto the following rights: -

1. The free and uninterrupted passage and running of all services from and to other parts of the Premises, in and through the Conduits;

2. To enter upon the Premises, by giving a 24 hour prior notice, to construct and to inspect, maintain, repair, renew, cleanse, replace and connect the Conduits at any time during the Term;

3. Of light, air, support and protection by the Premises for other Lettable Units or neighboring property of the Lessor;

4. To enter the Premises by giving a 24 hour prior notice during the Term with agents, workmen and others for the purposes of inspecting and of cleaning, maintaining, repairing, altering, improving, renewing or replacing any part of the Complex in, upon or near to the Premises or any part or parts thereof or for any necessary or reasonable purpose pertaining to the Premises and/or the Complex;

5. To suspend temporarily any rights granted to the Lessee in respect of the Common Parts in connection with the necessary repair and maintenance thereof or any other necessary purpose provided that the Lessor will use all reasonable endeavors to provide alternative rights during such period of suspension;

6. To erect scaffolding, included in the Premises, for the purposes of repairing, maintaining, cleaning or altering the Common Parts or any other part of the Premises notwithstanding that such scaffolding may temporarily interfere with the access to or use and enjoyment of the Premises;

7. To vary, alter, restrict, including in the Premises, or extend the Common Parts provided that such variation, alteration or extension does not materially adversely affect the Lessee' use and occupation of the Premises;

8. To regulate and control the use of the Common Parts and in particular (but without prejudice to the foregoing generality):-

   8.1.1 To vary, alter, change the use of, close or control access to the whole or any part of the Premises (provided that the Lessor will at all times provide reasonable alternative access);

   8.1.2 To affix to the Common Parts information panels, advertising panels, fire escapes, television aerials and connections, public lighting, brackets (with lamps attached),

seats, waste receptacles and any other items considered by the Lessor, acting reasonably, to be necessary or desirable;

9. To make regulations from time to time for the control, regulation and limitation of pedestrian or vehicular traffic in any part of the Complex for safety, traffic flow or other reasonable purpose and to make any regulations in relation to the Premises which are designed for the general benefit of the Complex;

10. To vary or alter the regulations provided for in paragraph 9 of this Part of the Schedule;

11. To sell, assign, transfer, dispose of or alienate at any time any part or parts of the Complex;

12. To extend the Complex and/or erect new buildings or extend or alter existing buildings on or over any part of the Complex as existing at the date of execution of this Lease or after extension, alteration or erection (and for the avoidance of doubt the Common Parts and the Complex as defined and mentioned in the Lease will as and from each occasion on which such extension, erection or alteration is completed be deemed to refer to the Common Parts and the Complex (as appropriate) as so extended, erected or altered) PROVIDED THAT in exercise of the foregoing rights:-

    12.1 No capital costs of any such extension, erection or alteration of buildings or the infrastructure shall be borne by the Lessee;

    12.2 The Lessee's occupation and use of the Premises will not be materially adversely affected by such extension, erection or alteration;

13. Full right and liberty to carry out all or any works which may be required by any public, local other competent authority or which are required by any local acts or bye-laws or any Act or Acts of Parliament already or hereafter to be passed and where the responsibility for such works is not imposed upon the Lessee by such authority and in particular the Lessor reserve the right, if required by any such authority, to alter, amend or extend the Common Parts in accordance with the directions of such authority.

Part 5

The Common Parts

Every part of the **Complex** as first constructed, and thereafter extended, altered or erected other than:

(i) the Premises; and

(ii) all other Lettable Units;

and including within the Common Parts without prejudice to the foregoing generality: -

1. The ground on which the Complex is erected;

2. The foundations, structural columns, pillars, beams, trusses, other supporting members and structural steelwork of the Complex, the cables, outside walls and roof of the Complex, including the roof dome(s) and roof tiles or slates, lead or other cladding, the roof void and any joists therein, any hatchways, the floors and floor slabs and all other parts of the structure of the Complex;

3. All railings, enclosures, balconies and balustrades, cladding or ornamental stonework, metalwork or woodwork, and any flagpoles affixed to the Complex;

4. The common entrances to the Complex, the steps leading thereto, the entrance and exit doors and all glazing associated therewith, the entrance hall, atrium, the common corridors, passages, stairways and landings, including fire escape and service corridors and stairs, and all doors and windows serving the same, all internal walls of the Complex (other than any walls comprised within the Premises or any other Lettable Unit), whether loadbearing or not, and all floors, floor finishes and coverings, walls, wall finishes, ceilings and ceiling tiles or other finishes of the common passages and stairs aforesaid ;

5. The service premises, management premises and security premises, the basement plant rooms, the toilets, offices and stores and all other utilities provided from time to time for the service and/or management of the Premises;

6. The Car Park and access ramps thereto, and all landscaped areas pertaining to the Complex and the planting and other features therein;

7. The Plant and Equipment insofar as available or in use for common benefit in or associated with the Complex and not exclusively serving the Premises or any other Lettable Unit;

8. The Conduits;

9. All fittings and fixtures and moveable items in and upon the foregoing provided or used for the common service or benefit of the occupiers of the Premises;

10. The fire alarm and fire warning and/or detection and/or fighting systems and emergency lighting and heating systems (including boilers) and air conditioning and extract systems so far as such systems are common to the Complex and other subjects in the Complex including the machinery and apparatus and all wires, cables, hoses and pipes used in connection therewith;

11. The lifts and/or vehicle and other hoists and associated machinery and apparatus used in common by the Lessee of the Premises;

12. The telephones in the lift(s) and all associated cables and apparatus.

Part 6

Lessor' Insurance Obligations

The Lessor undertake:-

1. **To insure the Complex. Premises and the Common Parts**

   Unless prevented from doing so by any act, omission or default of the Lessee or otherwise, to keep the Complex constantly insured in the name of the Lessor against loss or damage by or in consequence of the Insured Risks including Common Parts contents insurance, and, in the case of the Conduits and the Plant and Equipment (so far as forming part of the Common Parts), against mechanical and electrical breakdown and third party risks, (but in each case only for so long as and to the extent that the Lessor is able to obtain cover for the Insured Risks at reasonable commercial rates and subject to such excesses, exclusions and limitations as the Lessor' insurers may require or impose), for such sum or sums as represents the Full Cost of Reinstatement together with the Loss of Rent and Service Charge all in with such underwriters and through such agency as the Lessor may from time to time determine;

2. **To effect Public Liability Insurances**

   To keep adequate insurances in respect of the Lessor' liability for Third Party Liability,

3. **To effect other Insurances**

   To effect such other insurances in respect of the structure of the Complex (including the Common Parts, the Plant and Equipment (so far as forming part of the Common Parts) and the Conduits and the Lessor' interest therein) for such amounts and on such terms as the Lessor shall from time to time reasonably deem appropriate;

4. **To Provide Information**

   On the request of the Lessee to provide the Lessee with a summary of the risks insured against and amount of cover provided by the Lessor' insurances;

Part 7

Lessor' Obligations

The Lessor' undertake: -

1. **To Repair etc. Common Parts**

   Following the Commencement Date to repair, maintain, replace, renew, rebuild, reinstate, redecorate, cleanse and keep tidy the Common Parts irrespective of the cause of the damage, destruction or deterioration necessitating the same and in the event of any part thereof being destroyed or damaged, subject to all requisite statutory or other consents being obtained to rebuild or repair the same as in substantially similar form to that which previously existed; DECLARING THAT notwithstanding damage to or destruction of any part of the Premises this Lease shall not be terminated but shall nevertheless continue in full force and effect for the Term;

2. **To Provide Servicing of Lifts**

   To inspect, service, maintain, repair, renew and replace and keep in good working order all the lifts that are found within the Complex.

3. **To Comply with Legal Requirements**

   To pay all costs, charges and expenses of abating any nuisance and of executing all such works as may be necessary for complying with any notice served by or any requirement of a local or other competent authority in connection with the Premises or any part thereof;

4. **To Inspect etc. Plant and Machinery and Conduits**

   To inspect, operate, maintain, repair, renew and replace and keep in good working order the Plant and Equipment (insofar as forming part of the Common Parts) and the Conduits;

5. **To Employ Contractors**

   To employ and pay such contractors, agents or servants and to incur such costs as the Lessor acting reasonably shall think necessary or desirable in and about the proper performance of the Lessor;

6. **To Keep Accounts**

To keep an account of the expenditure incurred by or for the Lessor in respect: of the obligations of the Lessor under this Lease, and to provide the Lessee with a copy of the certified statement (and the opportunity to examine vouchers in respect thereof) summarizing the expenditure therein and in the absence of manifest or demonstrable error such statement and vouchers shall be sufficient evidence of all expenditure therein. All such statements shall be available for inspection by the Lessee on prior appointment at the offices of the Lessor during normal business hours;

7. **To perform Services**

To carry out, provide, manage and operate for the benefit of the Lessee and the other occupiers of the Premises where appropriate such of the services specified in Part Nine of the Schedule;

8. **Good Estate Management**

To use their rights and powers as Lessor of the premises to procure that the Complex be managed and administered in accordance with the principles of good estate management.